

NEPSE Alpha Playbook: Profit & Execution Guide

Filtering 110+ App Features into High-Probability Swings and Strict Capital Defense

Core Market Reality of NEPSE: In the Nepal Stock Exchange, **capital preservation is 80% of net profitability**. Because NEPSE enforces a **T+2 settlement freeze** (stocks purchased today cannot be sold for 2 trading days), has **no short-selling**, and caps moves with **±10% circuit limits**, bad entries cannot be rescued intraday. To consistently profit among the app's 110+ features, follow the rule: *Defend Capital First → Follow Institutional Footprints → Execute Asymmetrically*.

1. FEATURE RELIABILITY CLASSIFICATION (THE 3 TIERS)

TIER 1: Non-Negotiable Capital Protectors [WEIGHT: 90%+ RELIABILITY] These 4 core features shield you from severe drawdowns. Never violate these rules.	
1. Cash Defense Mode (Market Breadth Gate) Evaluates real-time Advance/Decline ratio and New Highs vs Lows. In bear regimes (breadth < 40%), over 75% of chart breakouts fail immediately. RULE: In Cash Defense, DO NOT BUY ANY BREAKOUT . Keep 70-80% cash.	2. Chase Cap Guard (+2.5% Max Limit) Guards against T+2 clearing traps. Buying a stock already up +4% to +8% on Day 1 makes you easy exit liquidity for short-term swingers. RULE: If Current Price > Entry Pivot + 2.5%, CANCEL TRADE . Never chase.
3. Promoter Lock-in Radar (60-Day Blackout) Hydros and Microfinances unlock 3-year promoter shares post-IPO, dumping massive supply and causing multi-month 20-40% collapses. RULE: Automatic blacklist. Never swing trade within 60 days of lock-in expiry.	4. Broker LBAS (Large-Block Floorsheet) Tracks institutional accumulation (e.g. Brokers 58, 45, 34, 17) to confirm whether real capital or speculative retail is buying. RULE: Only swing when Top 3 buyer brokers control ≥ 35% of total volume.
TIER 2: High-Edge Opportunity Engines [STATISTICAL EDGE: 80%+] Primary alpha generation tools during neutral and bullish market regimes.	
1. Day Prime Pick + Zero-Loss Protocol Screens entire market via 500-session analog vectors, liquidity, fundamental safety, and broker accumulation. ZERO-LOSS RULE: Sell 50% at Target 1 (+4% to +6%). Immediately move SL on remainder to Entry. Trade is now immune to loss.	2. Sector Rotation Matrix & Heatmap NEPSE money flows in waves across sub-indices (Hydro → Finance → Commercial Banks → Insurance). RULE: Never buy a stock in a 'Lagging' sector. Only trade sectors in 'Leading' or 'Improving' quadrants.
3. Pre-Open Order Book Imbalance (OBIR) Measures real matching bid/ask depth between 10:30 AM & 11:00 AM before the market opens. RULE: OBIR > 1.8 with positive matching depth confirms strong institutional morning demand.	4. Dual-Gate Alerts (RVOL ≥ 1.4x + VCP) Detects volatility compression breakouts validated against a 20-day baseline relative volume. RULE: Volume precedes price. Never trust a chart breakout if live RVOL < 1.0x.
TIER 3: DANGEROUS TRAPS TO AVOID IN ISOLATION: • Standalone Oscillators (RSI / MACD): In speculative NEPSE runs, RSI > 70 can stay overbought for 3 weeks while the stock doubles; RSI < 30 can drop another 30%. Never trade oscillators without volume and floorsheet confirmation. • Theoretical Monte Carlo Projections: Gaussian curves cannot anticipate sudden Nepal Rastra Bank directives, margin ceiling caps, or interest rate decisions. • Unadjusted Charts: Bonus and right shares distort support/resistance. Always use corporate-adjusted price series.	

2. THE 4-STEP DAILY EXECUTION ROUTINE

Time Window	Action Checklist & Non-Negotiable Gate
10:00 - 10:30 AM Pre-Market Scan	- Check Cash Defense Mode on top banner. If ACTIVE, stop: close buy tab; hold 70-80% cash. - Review Day Prime Pick card: record Entry Zone, Chase Cap (+2.5%), Stop Loss, and Target 1. - Run Safety Audit: verify candidate stock has NO promoter lock-in expiry in next 60 days.
10:30 - 11:00 AM Pre-Open Validation	- Observe Pre-Open OBIR (Order Book Imbalance Ratio) for morning buyer depth. - Check projected opening price: If gapping up > 2.5% above entry pivot, ABORT BUY (Chase Cap violated). If opening inside Entry Zone with OBIR > 1.5, setup is VALID.
11:15 - 01:30 PM Live Execution & Sizing	- Wait out 11:00-11:15 AM opening shakeout to avoid emotional retail whipsaws. - Verify live volume pacing: RVOL must be $\geq 1.2x - 1.5x$ of 20-day baseline. - Apply 1.5% Risk Sizing Rule: $Max\ Shares = (Portfolio \times 0.015) / (Entry - StopLoss)$. - Place Limit Orders strictly inside the Entry Zone on TMS.
03:15 - 04:00 PM Floorsheet Audit	- Open Floorsheet Analytics for the stock. - Identify Top 5 buyer and seller broker IDs: did Broker 58, 45, 34, 17 net accumulate? - Did Top 3 buyer brokers control $\geq 35\%$ of total volume? - Calibrate trailing stop loss and lock in T+2 execution plan.

3. SEASONAL LIQUIDITY & CALENDAR CYCLES IN NEPAL

Period	Market Behavior & Retail Dynamic	Strategic Trader Edge
Bhadra - Ashwin (Sept - Oct)	Pre-Dashain Liquidity Squeeze : Retail liquidates shares for festival expenses, travel, and business cash. Margin lending tightens.	Volume drops sharply. Historically the best accumulation window to purchase quality dividend stocks at steep valuation discounts.
Mangsir - Magh (Dec - Feb)	Dividend Season Rally : Commercial banks, insurance, and hydro companies hold AGMs and declare bonus/cash dividends.	Strongest multi-week seasonal rally. Sell into strength before the book closure date rather than holding through the dividend adjustment.
Chaitra - Baisakh (Mar - May)	Q3 Corporate Earnings : Banking liquidity stabilizes before national annual budget announcement.	Focus on high cash-flow producers and sector rotations driven by quarterly EPS surprises.
Ashad (June - July)	Fiscal Year-End Squeeze : Banks recall loans; investors sell to settle quarterly tax and interest obligations.	High volatility and sharp pullbacks. Avoid aggressive new swing buys during the final 2 weeks of Ashad. Save cash for Shrawan.

4. QUICK-REFERENCE DECISION MATRIX

Live Market Scenario	Primary Feature to Check	Required Trader Action
Index dropping, Market Breadth < 40%	Cash Defense Mode	Hold 70-80% Cash . Abort all chart breakouts.
Stock is up +5% at 11:05 AM	Chase Cap Indicator	Do not buy . Never chase past +2.5% of pivot.
Stock has promoter lock-in in 30 days	Promoter Lock-in Radar	Blacklist stock . Severe supply shock ahead.
Stock reaches Target 1 (+5%) on T+2	Entry/Exit Analyzer Levels	Sell 50% position . Move Stop Loss to Entry price.
Price breaks out on low volume (RVOL < 1.0x)	Relative Volume (RVOL)	Fake breakout trap . Do not enter.

Top 3 brokers accumulate $\geq 35\%$ of volume	Floorsheet LBAS	High-conviction setup. Institutional backing active.
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